Target-Date Retirement Income Funds

Dimensional Fund Advisors (DFA) takes a more direct approach to immunizing retirement liabilities through their target-date retirement income funds. These funds provide a useful case study for understanding the role bond funds play in meeting retirement expenses.

One of the defining distinctions for retirement income planning as opposed to traditional wealth management is that the focus shifts to meeting an ongoing spending objective. Traditional target-date funds (TDFs) are designed to increase nominal account balances while managing account balance volatility—they are not built to meet a spending objective. They provide an assets-only investing framework. However, a stable account balance does not necessarily translate to stable income thanks to daily fluctuations in interest rates. DFA bridges this divide by providing a target-date fund with a more complete risk management framework that manages volatility of expected affordable retirement spending.

The essential point to understanding how target-date retirement income funds differ dramatically from traditional target-date funds is to realize that *controlling account balance volatility and controlling spending volatility are two entirely different matters*. It is easy to overlook this point in our world, where something like the 4 percent rule tends to be the default retirement strategy. Its success is justified because it worked historically or can be expected to work on average—not because of how current interest rates or capital market expectations relate to sustainable retirement spending.

Traditional target-date funds focus on controlling portfolio volatility as the target-date (retirement) approaches. This focus may be due either to the belief that capital preservation becomes the primary concern of the retiree near their target date, or a naïve belief (because something like the 4 percent rule is in the back of one's mind) that reduced portfolio volatility is equivalent to sustainable and nonfluctuating spending power.